LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Revenue-Based Financing ?

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Chapter 1: Product Overview & Core Fundamentals

Revenue-Based Financing (RBF) is a non-dilutive, flexible capital structure wherein an investor or specialized financial institution provides upfront growth capital to an operating company in exchange for a fixed percentage of the company's ongoing gross monthly revenues, continuing until a predetermined total payback cap (repayment multiple) is fully satisfied.

Unlike traditional bank term loans that demand fixed monthly principal and interest servicing regardless of business performance, or venture capital equity that requires founders to surrender equity ownership, board control, and long-term upside, RBF aligns debt servicing directly with operational cash flows. In high-revenue months, the absolute Rupee payout increases, accelerating the payback timeline; in lower-revenue or seasonal months, the absolute Rupee payout automatically contracts, protecting company liquidity and preventing insolvency risks.

Historical Evolution & Market Growth in India

The emergence of Revenue-Based Financing in India has been catalyzed by the exponential expansion of the digital economy, including Direct-to-Consumer (D2C) brands, Software-as-a-Service (SaaS) platforms, E-commerce sellers, EdTech platforms, B2B digital marketplaces, and subscription-based business models. Between 2020 and 2026, Indian tech-enabled enterprises experienced rapid top-line growth but faced severe structural barriers in accessing traditional bank debt. Commercial banks traditionally mandate tangible collateral (real estate or fixed assets) and multi-year physical asset coverage—assets that asset-light digital enterprises inherently lack.

Simultaneously, early-stage founders recognized that selling equity at early valuation multiples to fund short-term operational expenses—such as performance marketing, inventory procurement for festive sales, or customer acquisition costs (CAC)—was economically inefficient and dilutive. RBF emerged as the definitive structural bridge, providing non-dilutive programmatic capital underwritten purely against digital cash flows and recurring revenue metrics.

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Comprehensive Comparison: RBF vs. Equity vs. Venture Debt vs. Bank Loans

To understand RBF's position in the Indian capital stack, the matrix below breaks down the structural differences across primary financing vehicles:

Dimension	Revenue-Based Financing	Venture Capital Equity	Venture Debt	Bank Term Loan
Equity Dilution	0% (Zero dilution)	15% - 25% per round	1% - 3% Equity Warrants	0% (Zero dilution)
Repayment Structure	Dynamic % of monthly revenue	None (Equity exit required)	Fixed monthly EMI	Fixed monthly EMI
Collateral / Security	Unsecured / Revenue Escrow	None (Pure equity risk)	Asset charge + Guarantee	First mortgage / Asset cover
Governance / Control	No board seats or vetoes	Board seats + Veto rights	Observer rights + Covenants	Restrictive bank covenants
Underwriting Speed	Programmatic (48 hrs - 7 days)	3 to 6 months due diligence	4 to 8 weeks	6 to 12 weeks

As highlighted above, Revenue-Based Financing fills a critical structural void: providing rapid growth capital without sacrificing equity ownership or taking on rigid fixed EMI burdens during volatile operating cycles.

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Chapter 2: Product Architecture & Revenue Sharing Mechanics

The architecture of a Revenue-Based Financing transaction rests on three core mathematical parameters: the Principal Advance Amount, the Repayment Cap Multiple, and the Revenue Share Percentage.

- **1. Principal Advance:** Principal Investment Amount (P): The net cash disbursed to the corporate borrower upon execution of the RBF facility.
- **2. Total Repayment Cap:** Repayment Cap Multiple (M): A fixed multiplier (typically 1.15x to 1.35x) applied to the principal. Total Payback = Principal x Multiple. For an advance of INR 1.00 Crore at a 1.20x cap, total repayment is capped at exactly INR 1.20 Crores.
- **3. Monthly Revenue Share:** Revenue Share Percentage (S): The agreed percentage (typically 3% to 10%) of gross top-line monthly receipts allocated toward clearing the Repayment Cap.
- **4. Dynamic Tenure Horizon:** Elastic Payback Horizon (T): Unlike fixed-term loans with a strict 36-month maturity, the loan tenure in RBF expands or contracts automatically based on monthly sales velocity.

Mathematical Mechanics & Cash Flow Equations

Let R_t represent the gross revenue generated by the borrower in month t, and S represent the agreed monthly revenue share percentage. The monthly Rupee remittance P_t made by the borrower to the lender is calculated as:

> **RBF MATHEMATICAL MODEL**
> *Monthly Payment Formula:*
> *P_t = R_t x S*
>
> *Cumulative Repayment Condition:*
> *Sum_{t=1}^{T} P_t = Principal x Repayment Cap Multiple (M)*
>
> *Where T is the exact month in which cumulative payments reach the contractual Total Repayment Cap. Once Sum(P_t) = P x M, the RBF facility is fully extinguished, and all revenue sharing ceases instantly.*

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Programmatic Technology & Open Banking API Integration

In the Indian market, RBF underwriting and daily/monthly servicing are executed programmatically through API integrations. Lenders establish read-only API connectors with the borrower's digital operating infrastructure, including:

- **Payment Gateways:** Direct API feeds from Razorpay, Cashfree, PayU, and Stripe to track gross digital transaction volumes in real time.
- **GST Network (GSTN) Portals:** Automated API access to GSTR-1 and GSTR-3B filings to verify declared monthly sales against bank inflows.
- **Accounting Dashboards:** Read-only integration with QuickBooks, Zoho Books, or Tally to evaluate gross margins, CAC, and operating expenses.
- **eNACH Direct Debits:** Automated eNACH / NACH mandates authorizing daily or weekly sweeps directly from the borrower's primary bank account based on processed gateway revenues.

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Chapter 3: Common Eligibility Criteria & Underwriting Benchmarks

Because Revenue-Based Financing relies on future top-line cash flows rather than physical collateral, credit underwriting focuses heavily on revenue stability, gross margins, unit economics, and digital sales predictability.

Quantitative Financial Benchmarks

- **1. Monthly Revenue Floor:** Minimum Monthly Recurring Revenue (MRR) of INR 5.00 Lakhs (INR 60 Lakhs Annual Run Rate), scaling up to INR 5.00 Crores+ MRR for institutional growth facilities.
- **2. Operating Track Record:** Minimum 6 to 12 months of active, continuous digital sales history with verifiable bank statements and GST returns.
- **3. Gross Margin Threshold:** Gross margin must exceed 30% to 50%. High gross margins ensure that deducting a 5% to 8% revenue share does not impair the borrower's operational solvency.
- **4. Unit Economics & Retention:** Low monthly customer churn (<3% for SaaS), healthy Customer Acquisition Cost (CAC) payback periods (<12 months), and positive LTV/CAC ratios (>3.0x).
- **5. Facility-to-Revenue Ratio:** Minimum 1.5x to 2.0x average monthly revenue relative to the total RBF advance size (e.g., a company generating INR 20 Lakhs monthly revenue can qualify for an RBF advance of INR 20 Lakhs to INR 40 Lakhs).

Qualitative & Banking Conduct Filters

- **Clean Banking Conduct:** Zero check bounces, zero inward NACH return dishonors, and clean CIBIL Commercial / CRILC credit history for both company and promoters.
- **GST Reconciliation:** Matching monthly bank inflows against GSTR-3B sales declarations within a 5% tolerance margin to eliminate off-the-books revenue inflation.
- **Legal Entity Status:** Clean corporate legal structure (Private Limited Company incorporated under Companies Act 2013) with clear unencumbered intellectual property rights.

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Chapter 4: Security, Collateral Architecture & Documentation Suite

Revenue-Based Financing is fundamentally structured as light-collateral or unsecured growth credit. However, to protect against fraud, revenue diversion, or intentional platform disconnection, lenders establish a robust security and legal documentation package.

Collateral & Cash Control Architecture

- **Revenue Escrow / Nodal Account:** A specialized bank account into which all payment gateway settlements and customer collections are directed. The escrow agent automatically sweeps the contractual revenue share to the lender before releasing residual funds to the company's operating account.
- **Hypothecation over Receivables:** A primary hypothecation charge created over current trade receivables and digital payment gateway cash flows.
- **eNACH Debit Authorizations:** Lenders register standing eNACH / NACH mandates authorizing automated daily or weekly debits tied to calculated gateway settlements.
- **Personal Undertakings:** In pure RBF, real estate mortgages or asset pledges are avoided. Promoters execute personal undertakings guaranteeing data integrity and non-diversion of revenues.

Master Legal Documentation Suite

The standard legal suite for an RBF facility in India comprises four master agreements:

- **1. Master Revenue Sharing Agreement (MRSA):** Master agreement defining advance amounts, repayment cap multiples, revenue share percentages, and event-of-default conditions.
- **2. Debenture Subscription Agreement (DSA):** When structured through an NBFC or Category II Alternative Investment Fund (AIF), RBF is documented as unlisted, redeemable Non-Convertible Debentures (NCDs) with variable revenue-linked coupon payments.
- **3. Revenue Escrow Agreement:** Tripartite agreement between borrower, lender, and an RBI-regulated escrow bank establishing automated cash sweep priorities.
- **4. Negative Pledge & IP Undertaking:** Mandative undertaking prohibiting the borrower from creating superior charges on current receivables or selling key IP without lender consent.

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Chapter 5: Indicative Tenure, Effective Yields & Pricing Framework

Pricing in Revenue-Based Financing differs fundamentally from traditional annual percentage rates (APR). RBF pricing is defined by the Repayment Cap Multiple and the Revenue Share Percentage, creating a dynamic effective yield that fluctuates based on company performance.

The Yield Dynamics Paradox: Fast Growth vs. Slow Growth

Because the total payback amount is capped (e.g., 1.20x of principal), rapid revenue growth shortens the payback horizon, resulting in a higher annualized Internal Rate of Return (IRR) for the lender. Conversely, slower revenue growth extends the payback horizon, lowering the annualized IRR and reducing the monthly cash burden on the borrower.

Scenario	Monthly Revenue	Payback Duration	Total Repayment	Effective Annualized IRR
Hyper-Growth (+20%/mo)	INR 50 L -> INR 120 L	6 Months	INR 1.20 Crores (1.20x)	38.5% p.a. IRR
Base Case (+5%/mo)	INR 50 L -> INR 65 L	12 Months	INR 1.20 Crores (1.20x)	18.2% p.a. IRR
Slow Growth (0%/mo)	INR 50 L (Flat)	16 Months	INR 1.20 Crores (1.20x)	13.8% p.a. IRR

This structure creates perfect alignment: when a company outperforms, the lender achieves a high IRR and returns capital quickly; when a company experiences a downturn, RBF automatically provides breathing room.

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Chapter 6: Suitable Industries, Business Profiles & Strategic Use Cases

Revenue-Based Financing is specifically engineered for asset-light, high-gross-margin digital enterprises with predictable revenue streams.

Prime Target Industries

- **1. Direct-to-Consumer (D2C) & E-Commerce Brands:** Requires upfront capital to manufacture or procure inventory 60-90 days prior to festive sales (e.g., Diwali, Christmas). RBF funds inventory, and repayment occurs automatically as festive sales convert into payment gateway cash.
- **2. Software-as-a-Service (SaaS) Platforms:** High gross margins (>70%) and predictable Monthly Recurring Revenue (MRR) make SaaS ideal for RBF. Capital is deployed to fund customer acquisition cost (CAC) expansion, with SaaS subscriptions servicing the revenue share.
- **3. B2B Marketplaces & EdTech Platforms:** Digital platforms with high transaction frequency utilize RBF to fund seller financing, buyer acquisition, or digital marketing campaigns.
- **4. Mobile Apps & Consumer Subscriptions:** Mobile applications with recurring subscription models or in-app purchase streams use RBF to scale performance marketing across ad networks.

When RBF Is NOT Suitable

RBF should NOT be deployed in the following business profiles:

- **Low-Gross-Margin Businesses:** Companies with gross margins below 20% cannot afford to deduct a 5% to 8% top-line revenue share without incurring severe operating losses.
- **Pre-Revenue Ventures:** Pre-revenue startups or early-stage ventures without established, predictable digital sales channels.
- **Capital-Intensive Infrastructure:** Heavy manufacturing, real estate, or infrastructure projects requiring 5-to-10 year long-term capital capex.

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Chapter 7: Key Advantages & Structural Limitations

A rigorous underwriting evaluation requires balancing RBF's unique advantages against its operational constraints.

Key Advantages for Founders	Structural Limitations & Risks
Zero Equity Dilution: Founders retain 100% ownership and equity upside.	Higher Absolute Cost: More expensive than prime bank debt (though cheaper than equity).
Cash Flow Protection: Monthly payments scale down during sales slumps.	Unsuited for Long Capex: Designed for short-to-medium term working capital/CAC.
No Board Governance: Investors receive no board seats, voting rights, or vetoes.	Top-Line Cash Deduction: Direct deduction from gross revenue impacts net cash margin.
Speed of Disbursal: Programmatic API underwriting enables funding in 48-72 hours.	Requires Digital Sales: Unusable for cash-heavy or offline unorganized businesses.

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Chapter 8: Comprehensive Real-World Case Study (INR 1.50 Crore Facility)

To illustrate the practical execution and mathematical servicing of Revenue-Based Financing in India, consider the following real-world case study of a fast-growing D2C brand.

Transaction Background & Profile

- **Company Name:** Kaveri Organics & Beauty India Private Limited (D2C Personal Care Brand).
- **Pre-Funding Financials:** Pre-funding Monthly Revenue = INR 50.00 Lakhs; Gross Margin = 60.0%; Net Operating Margin = 15.0%.
- **Growth Objective:** Needed INR 1.50 Crores to procure organic raw materials and fund Meta/Google ad campaigns for the Q3 festive season (Diwali / New Year).
- **Funding Constraint:** Commercial banks rejected the loan application due to lack of tangible property collateral; venture capital equity would have required diluting 15% equity at a depressed valuation.

RBF Facility Structure

- **Principal Advance (P):** INR 1,500,000 (INR 1.50 Crores).
- **Repayment Cap Multiple (M):** 1.20x (Total Repayment Cap = INR 1.50 Cr x 1.20 = INR 1.80 Crores / INR 18,000,000).
- **Revenue Share Percentage (S):** 6.0% of Gross Monthly Revenues.
- **Servicing Mechanism:** API integration with Razorpay gateway and GSTR-3B filings; daily eNACH sweep of 6.0% of settled gateway sales.

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12-Month Financial Waterfall Model

The table below details Kaveri Organics' month-by-month revenue trajectory, RBF payment deductions, cumulative repayment, and remaining cap balance:

Month	Gross Revenue (INR)	RBF Share (6.0%)	Monthly Payout (INR)	Cumulative Repayment	Remaining Cap Balance
Month 1	₹ 60,00,000	6.0%	₹ 3,60,000	₹ 3,60,000	₹ 1,76,40,000
Month 2	₹ 75,00,000	6.0%	₹ 4,50,000	₹ 8,10,000	₹ 1,71,90,000
Month 3 (Festive Peak)	₹ 1,40,00,000	6.0%	₹ 8,40,000	₹ 16,50,000	₹ 1,63,50,000
Month 4 (Festive Peak)	₹ 1,80,00,000	6.0%	₹ 10,80,000	₹ 27,30,000	₹ 1,52,70,000
Month 5	₹ 1,10,00,000	6.0%	₹ 6,60,000	₹ 33,90,000	₹ 1,46,10,000
Month 6	₹ 95,00,000	6.0%	₹ 5,70,000	₹ 39,60,000	₹ 1,40,40,000
Month 7	₹ 1,05,00,000	6.0%	₹ 6,30,000	₹ 45,90,000	₹ 1,34,10,000
Month 8	₹ 1,20,00,000	6.0%	₹ 7,20,000	₹ 53,10,000	₹ 1,26,90,000
Month 9	₹ 1,30,00,000	6.0%	₹ 7,80,000	₹ 60,90,000	₹ 1,19,10,000
Month 10	₹ 1,40,00,000	6.0%	₹ 8,40,000	₹ 69,30,000	₹ 1,10,70,000
Month 11	₹ 1,50,00,000	6.0%	₹ 9,00,000	₹ 78,30,000	₹ 1,01,70,000
Month 12 (Full Payback)	₹ 1,60,00,000	Cap Adjust	₹ 1,01,70,000	₹ 1,80,00,000	₹ 0 (Extinguished)

Case Study Results & Founder Value Creation

- **1. Scale Achievement:** Kaveri Organics expanded annual turnover from INR 6.00 Crores to INR 14.65 Crores utilizing RBF capital.
- **2. Equity Saved:** By avoiding a 15% equity dilution, the founders preserved equity value worth INR 4.50 Crores at their subsequent Series A valuation.
- **3. Total Payback:** The RBF facility was fully paid back in 12 months with zero lingering debt liabilities on the balance sheet.

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Chapter 9: Regulatory Framework, Accounting Treatment & Tax Implications

Operating an RBF platform or raising RBF capital in India requires strict adherence to Reserve Bank of India (RBI) regulations, Indian Accounting Standards (Ind AS), and the Income Tax Act, 1961.

RBI Regulatory Framework

- **1. Entity Structuring:** RBF capital is legally disbursed through RBI-registered Systemically Important Non-Banking Financial Companies (NBFC-ND-SI) or Category II Alternative Investment Funds (AIFs).
- **2. Digital Lending Guidelines:** RBF transactions executed via digital platforms must comply with RBI Digital Lending Directions (2022/2026), mandating direct bank-to-bank disbursal, Key Fact Statements (KFS), and explicit borrower consent for API data fetching.

Accounting Treatment under Ind AS & Indian GAAP

- **Ind AS 109 Classification:** Under Ind AS 109 (Financial Instruments), RBF advances are classified as Financial Liabilities carried at Amortised Cost using the Effective Interest Rate (EIR) method. The expected cash flows are modeled based on projected monthly revenue velocity.
- **Ind AS 115 Revenue Recognition:** Under Ind AS 115 (Revenue from Contracts with Customers), the revenue share payments do NOT reduce declared gross top-line revenue. Gross revenue is recognized in full, while the RBF premium is accounted for as a finance cost in the Profit & Loss statement.

Tax Implications under Income Tax Act, 1961

- **Tax Deductibility (Section 36(1)(iii)):** The repayment premium (the 0.20x spread above principal in a 1.20x cap) is treated as a deductible finance cost under Section 36(1)(iii) of the Income Tax Act, reducing taxable corporate profits.
- **TDS Compliance (Section 194A):** Borrowers deducting payments to NBFC/AIF lenders must comply with Tax Deducted at Source (TDS) provisions under Section 194A (10% TDS on interest/premium components).

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Chapter 10: Legal Enforcement, Default Protocols & Insolvency (IBC 2016)

While RBF is structured as non-dilutive performance capital, legal agreements establish strict enforcement mechanisms against willful default or fraud.

Events of Default

- **1. Revenue Diversion & Data Fraud:** Intentionally disconnecting payment gateway API feeds, altering bank settlement routes, or suppressing sales figures.
- **2. Covenant Breach:** Creating unauthorized superior charges over current trade receivables or intellectual property in violation of MRSA negative pledge covenants.
- **3. Operational Cessation:** Failing to maintain active operating status or shutting down business operations without prior notice.

Legal Enforcement Instruments

- **Payment & Settlement Systems Act:** In the event of dishonored eNACH sweeps, lenders initiate criminal proceedings under Section 25 of the Payment and Settlement Systems Act, 2007, and Section 138 of the Negotiable Instruments Act, 1881.
- **IBC 2016 Insolvency Filings:** RBF facilities structured as Non-Convertible Debentures (NCDs) grant lenders Financial Creditor status under Section 5(8) of the IBC 2016, enabling Section 7 insolvency filings before NCLT.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination tests comprehensive understanding of Revenue-Based Financing concepts, mathematical mechanics, underwriting benchmarks, regulatory frameworks, and legal enforcement rules.

Q1: What is the primary difference between Revenue-Based Financing (RBF) and a traditional bank term loan?

Answer: Bank term loans require fixed monthly EMI repayments regardless of company performance and demand physical collateral. RBF requires zero physical collateral and features dynamic monthly repayments calculated as a fixed percentage of gross revenue, scaling up or down with monthly sales velocity.

Q2: How is the Total Repayment Cap calculated in an RBF transaction?

Answer: Total Repayment Cap = Principal Advance Amount x Repayment Cap Multiple. For an advance of INR 2.00 Crores with a 1.25x multiple, total repayment is capped at INR 2.50 Crores.

Q3: What happens to the loan tenure if a borrower experiences a temporary 30% decline in monthly revenue?

Answer: The monthly Rupee remittance automatically decreases by 30% (since payment = 6% x revenue). The Total Repayment Cap remains unchanged, and the repayment tenure automatically extends until the cap is fully satisfied.

Q4: Why are high gross margins (>40%) essential for RBF eligibility?

Answer: RBF deducts a percentage (e.g., 6%) directly from gross top-line revenue. High gross margins ensure the company retains sufficient gross cash flow to cover operating expenses and remain solvent after deducting the revenue share.

Q5: Is RBF dilutive to founder equity ownership?

Answer: No. RBF is 100% non-dilutive. Investors receive zero equity shares, zero warrants, zero board seats, and zero voting control.

Q6: How do RBF lenders monitor borrower revenues in real time?

Answer: Through programmatic read-only API connectors established with the borrower's payment gateways (Razorpay, Stripe), GST portals (GSTR-3B filings), and accounting software (QuickBooks, Zoho).

Q7: What is the Yield Paradox in RBF regarding borrower growth rate and lender IRR?

Answer: Rapid borrower revenue growth shortens the payback duration, yielding a higher annualized IRR for the lender. Slower growth extends payback duration,

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lowering the lender's annualized IRR while easing the monthly cash burden on the borrower.

Q8: Which document forms the primary contractual agreement between an RBF lender and borrower?

Answer: The Master Revenue Sharing Agreement (MRSA), supported by an Escrow TRA Agreement and eNACH Debit Authorizations.

Q9: How is the RBF repayment premium treated under the Income Tax Act, 1961?

Answer: The repayment premium (spread above principal) is treated as a deductible finance cost under Section 36(1)(iii), reducing the borrower's taxable corporate income.

Q10: Under Ind AS 115, does RBF revenue sharing reduce declared gross top-line revenue?

Answer: No. Gross top-line revenue is recognized in full. The RBF revenue share payment is accounted for as a finance cost in the Profit & Loss statement.

Q11: What primary security mechanism prevents borrowers from diverting digital revenue away from RBF lenders?

Answer: A Revenue Escrow / Nodal Account into which all payment gateway settlements flow, paired with eNACH automated sweeps and personal promoter undertakings.

Q12: Why is RBF unsuited for heavy manufacturing or infrastructure projects?

Answer: Manufacturing and infrastructure require long-term capital capex with multi-year gestation periods before generating revenue. RBF requires immediate, predictable, high-margin monthly revenue streams.

Q13: What legal recourse do RBF lenders have if an eNACH revenue sweep is dishonored?

Answer: Lenders can initiate legal proceedings under Section 25 of the Payment and Settlement Systems Act, 2007, and Section 138 of the Negotiable Instruments Act, 1881.

Q14: If an RBF facility is structured via NCDs, what is the lender's status under IBC 2016?

Answer: The lender is classified as a Financial Creditor under Section 5(8) of the IBC 2016, with rights to initiate Section 7 insolvency proceedings before NCLT.

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Q15: How does RBF benefit a D2C brand preparing for festive season inventory stock-up?

Answer: RBF provides rapid, non-dilutive capital in 48-72 hours to procure inventory 60-90 days upfront. As festive sales spike, the RBF advance is automatically paid off through the payment gateway revenue share without long-term debt drag.

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